NINJAS STEM FOUNDATION

Financial Management & Reimbursement Policy

Financial Stewardship & Fundraising

Policy ID: NSF-FN-01	Status: Proposed — not adopted
Effective date: [Board to establish]	Publication: Public policy; completed financial records remain internal

1. Purpose and hierarchy

This Policy implements the Foundation's financial stewardship duties: appropriate program spending, documented authorization, accurate books, independent reimbursement review, and protection of funds and property. It applies to directors, officers, committee members, coaches, volunteers, and others incurring or approving obligations for NSF.

It is subordinate to applicable law, the Certificate of Formation, and the operative Bylaws. The October 2026 proposed bylaws remain proposals until validly adopted; this Policy does not independently expand spending authority. Where an approval schedule or delegation has not been validly adopted, the Foundation shall obtain the Board authorization required by its operative governing documents before making a commitment.

2. Accountability and separation of duties

- The Board approves the annual budget, financial-authority schedule, banking/signing arrangements, and decisions reserved to it by law or the Bylaws.
- The Treasurer maintains accounting records, verifies restrictions, coordinates deposits and payments, reconciles accounts, and reports to the Board. Treasurer custody does not authorize unilateral spending beyond delegated limits.
- Program and committee leads propose expenses and may carry out purchases only under recorded authority applicable to them.
- No person approves their own reimbursement or serves as an approver for a transaction from which they receive a material private benefit. Use an unconflicted substitute or refer the matter to the Board.
- The Outreach Committee may solicit or coordinate approved fundraising activities but does not acquire corporate or financial-management authority solely by membership.

3. Annual budget, spending authority, and reserved matters

Each fiscal year (September 1–August 31 under the current NSF bylaws), program leads submit anticipated activities, educational objectives, resources, costs, and funding needs. The Treasurer consolidates these into a proposed annual budget for Board approval. A budget line is not a purchase authorization for any person lacking a valid delegation.

Before an obligation is incurred, record the program or event, purpose, total foreseeable commitment, vendor, funding source, authorized purchaser, ceiling, duration, and approval. Include tax, shipping, recurring charges, related orders, and other reasonably foreseeable charges. Transactions shall not be fragmented to avoid a threshold.

Board-reserved matters include the annual budget, the approval limits identified in the valid financial-authority schedule, borrowing and changes to banking authority, material unbudgeted commitments, related-party arrangements requiring Board action, and disputed repayments or settlements when reserved by the Bylaws. A collection of individual email approvals is not equivalent to Board action unless the legally applicable written-consent procedure is satisfied.

Proposed approval schedule for Board selection — not effective merely by inclusion here

Total commitment	Suggested review	Implementation note
Below $150	Authorized program purchaser, within a specific approved delegation	Prior approval may be a recorded event allocation/standing authorization.

Total commitment	Suggested review	Implementation note
$150 to $500 inclusive	Two designated, unconflicted approvers; ordinarily President and Treasurer	Name substitutes when either is the claimant or unavailable.
Over $500	Prior, valid Board approval under applicable meeting or written-consent rules	Officers verify and execute; their bank signature is not a separate veto.
Any amount outside authorization / binding restriction	Board or other legally required approval	Do not retrospectively label later approval "preapproval."

The dollar amounts above are examples previously considered by NSF. The Board must affirm or revise them in a dated authority schedule; law does not prescribe these dollar bands.

4. Purchasing, contracting, and equipment

Authorized purchasers should use vendor invoices, quotes, and Foundation-controlled purchasing accounts when practicable. No volunteer may promise a contract or ongoing subscription beyond the scope of written authority. Contracts imposing insurance, indemnity, intellectual-property, data, youth-safety, or material performance obligations require review by an appropriately authorized adult before signature.

Purchased or validly donated robotics parts, computers, tools, field elements, and other equipment shall be recorded in an asset register where material. Record owner, source, location, custodian, program usage, restrictions, loan terms, and return or disposition. Personal/loaned property is not converted into NSF property merely by being used in a team practice.

5. Reimbursement request and approval

1. Before purchase: obtain approval identifying permitted items, purpose and ceiling, or verify an existing valid program authorization.
2. After purchase: submit a claim identifying claimant, date, vendor, amount, original authorization, program/activity, expense type, and funding source, with an itemized receipt or comparable evidence and proof of payment.
3. Disclose any personal component, discount, credit, vendor return, shared use, advance, or previously claimed amount.
4. Treasurer (or substitute) checks arithmetic, allowable purpose, accounting classification, available authorized funds, duplicate claims, and applicable restrictions.
5. An unconflicted authorized approver approves or rejects the claim; the payment is made through an NSF-controlled channel and entered in the ledger.
6. Notify the claimant of a deficiency or denial with the relevant reason and a channel for corrective documentation.

The companion expense form is an administrative template, not a source of independent payment rights. The Board should select a reasonable submission period (for example, 30 days after expense) and a processing goal (for example, 15 business days for complete claims), with equitable, documented handling of exceptions.

6. Exceptions, emergencies, advances, and prohibited practices

If a record is missing, request a vendor duplicate or other reliable contemporaneous evidence; a claimant affidavit alone need not suffice. An expense made without required authorization is not automatically reimbursable. Where NSF may nonetheless have a contractual or other legal obligation, obtain an independent, dated assessment and proper approval; do not backdate a ratification.

A genuine emergency affecting people, essential equipment, or confirmed Foundation commitments may justify a narrow delegated emergency process approved in advance by the Board. Record facts, urgency, amount, approver, and prompt subsequent review. An emergency exception does not erase binding restrictions or create prohibited loans.

Personal-account commingling and informal cash pools are prohibited as NSF operating methods. Out-of-pocket purchases are reimbursed after approved documentation. Expense advances require a specifically identified recipient, purpose, amount, return/reconciliation deadline, and lawful review; Texas Business Organizations Code §22.225 prohibits corporate loans to directors.

7. Accounts, reconciliation, and reporting

Deposit receipts promptly into NSF-controlled bank or approved payment-processing accounts. Keep the source, restriction, program, and revenue type identifiable. Limit credentials and disbursement authority to those specifically authorized; revoke access when roles end after preserving business records.

Reconcile every active bank/payment account monthly as a proposed internal safeguard, with review by an authorized person who did not principally initiate the payments. Preserve statements, reconciliations, exceptions, and reviewer sign-off. At least quarterly, report budget versus actual, outstanding commitments, fund restrictions, liabilities, cash availability, and material variances.

The Board shall arrange the annual financial report and filing process appropriate to NSF's actual tax classification and Texas law. Determine and document the applicability of Texas Business Organizations Code §§22.352–22.355, which include exemptions for some corporations, rather than assuming every nonprofit follows the same reporting rule. Do not hard-code Form 990-N into this Policy.

8. Confidentiality, preservation, and prospective operation

Financial records are held under NSF's Records Management, Retention & Access Policy. Preserve original source documents and any material subject to current or reasonably anticipated litigation or regulatory review. A public summary does not replace any statutory inspection, disclosure, or legal-production obligation.

This Policy applies only from its approved effective date. It does not reclassify prior family payments, validate disputed historical purchases, decide a refund claim, or alter rights arising under earlier arrangements.

Selected governing and drafting references

These references inform the draft. Other-state peer practices are illustrative only; they are not Texas legal requirements. Applicable law and the Foundation's validly adopted Certificate and Bylaws control.

Texas nonprofit corporation governance and financial records: https://tcss.legis.texas.gov/resources/BO/htm/BO.22.htm

IRS governance practices: https://www.irs.gov/pub/irs-tege/governance_practices.pdf

Idaho STEM Foundation bylaws (delegated fiscal procedures): https://stem.idaho.gov/wp-content/uploads/foundation/STEM-AC-Foundation-Bylaws_Approved-Amendment-11-16-2023.pdf